



Urban Furniture: Accounting System

1. Overview

An accounting system for Urban Furniture that enables:

- Entry of core master data (Contacts, Products, Chart of Accounts, Budget, Journals)
- Smooth recording of sales, purchases, and payments using the master data.
- Automated generation of financial and stock reports like Balance Sheet, Profit & Loss (P&L), and Budget Report.

2. Primary Actors

- **Admin (Business Owner)** – Creates/ Modify/ Archived Master Data, Record Transaction and View Report
- **Invoicing User (Accountant)** – Creates Master Data, Records Transactions, Views Reports.
- **Contact** – Contact users can be created when creating Contact Master data. Only view their own invoice/bills and make payment.
- **System** – Validates data, computes taxes, updates ledgers, and generates reports

3. Master Data Modules

1. Contact Master

Fields: Name, Type (Customer/Vendor/Both), Email, Mobile, Address (City, State, Pincode), Profile Image.

Example:

- Vendor: Rahul Sharma
- Customer: Nimesh Pathak

2. Product Master

Fields: Product Name, Type (Goods/Service/combo), Sales Price, Cost (Purchase Price), Category.

Example: Office Chair, Wooden Table, Sofa, Dining Table.

3. Chart of Accounts Master

Concept: Chart of Accounts (CoA) is essentially the master list of all ledger accounts used to classify every financial transaction in an organization. Each account in the CoA acts like a category or bucket where related transactions are grouped (e.g., Cash, Bank, Sales Income, Purchase Expense).

Fields: Account Name, Type (Asset, Liability, Expense, Income, Capital).

Example:

- Assets: Cash, Bank, Debtors,
- Liabilities : Creditors
- Income: Sale Income
- Expenses: Purchases Expense

4. Journal

Concept: A Journal is a record or book used to group and organize similar accounting transactions. Each journal represents a specific type of financial activity, such as sales, purchases, bank transactions, or cash transactions.

Fields: Journal Name, Type, Default Accounts.

Example:

- Sales Journal: Customer invoices and sales transactions

- Purchase Journal: Vendor bills and purchase transactions
- Bank Journal: Bank-related transactions
- Cash Journal: Cash receipts and payments

5. Journal Entries

Concept: A Journal Entry is the actual accounting record created for a financial transaction. It records the debit and credit accounts along with the amount, ensuring that every transaction follows the double-entry accounting principle.

Fields: Journal, Date, Reference, Journal Items, Account, Debit, Credit.

Example:

- Cash received from customer → Debit: Cash, Credit: Debtor
- Purchase made on credit → Debit: Purchase Expense, Credit: Creditor

4. Transaction Flow

Users can use master data to create and link transactions:

Process	Fields/Details
Purchase Order	Select Vendor, Product, Quantity, Unit Price
Vendor Bill	Convert PO to Bill, record invoice date, due date, and register payment (Cash/Bank)
Sales Order	Select Customer, Product, Quantity, Unit Price, Tax
Customer Invoice	Generate Invoice from SO and receive payment via Cash/Bank
Payment	Register against bill/invoice - select bank or cash

5. Budget Flow

Analytic Account:

Concept: An Analytic Account serves as a financial marker to monitor and group expenses or income related to a particular project, department, or business unit. It provides the foundation for evaluating the fiscal success of that specific sector.

Fields: Analytic Account name, Type (Income/Expenses)

Budget:

Concept: A Budget is then created by defining the budget period, planned amount, and the relevant analytic account.

Fields: Budget Name, Period, Responsible Person

6. Reporting Requirements

After transactions are recorded, the system must generate:

1. **Balance Sheet** – Real-time snapshot of Assets, Liabilities, and Capital.
2. **Profit & Loss Account** – Income from product sales minus purchases/expenses to show net profit.
3. **Budget Report** – Provides an overview of the planned budget.

7. Key Use-Case Steps

7.1 Create Master Data

1. User creates and maintains the required master data.
2. User adds Contacts, such as Azure Furniture and Nimesh Pathak.
3. User adds Products, such as Wooden Chair.
4. Sets up the Chart of Accounts.

7.2 Record a Purchase

1. User creates a Purchase Order for Azure Furniture.
2. Once the goods are received, the user converts the Purchase Order into a Vendor Bill.
3. User records the payment through Bank.

7.3 Record a Sale

1. User creates a Sales Order for Nimesh Pathak for 5 Office Chairs.
2. User generates a Customer Invoice.
3. User records the payment through Cash/Bank.

7.4 Generate Reports

1. User selects the reporting period.
2. The system generates the following financial reports:
 - **Balance Sheet:** Showing Company's assets and liabilities.
 - **Profit & Loss Report:** Showing total sales, purchases, expenses, and net profit.
 - **Budget Report**

Why This Hackathon Problem is Important

Real-world accounting workflow: Shows how a complete accounting process works end-to-end (Master Data → Purchase/Sales → Invoice/Bill → Payment → Accounting Entries → Reporting).

Business logic focus: Teaches handling practical accounting rules like debit/credit entries, payment tracking, account classification, budgets, and financial report generation — not just UI screens.

Industry-ready system thinking: Builds a production-like solution connecting contacts, products, journals, transactions, budgets, and financial reports while maintaining accurate and consistent accounting data.

Mockup Link - <https://app.excalidraw.com/s/65VNwvy7c4X/6ofCsWuwhe>